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Futu Holdings Ltd | Asia Pacific

Client Franchise Steady Post-Mainland Regulatory Change

Key Takeaways

- Per CCASS data, the value of HK stocks held by Futu clients was more resilient than the broader market in 2Q26, down -2.6% QoQ vs. -5.7% QoQ for HK market cap.
- Notably, the franchise remained resilient post-regulatory changes with client stock holdings down -7.3% from 22 May to end-2Q vs. HK market cap -9.1%...
- ...suggesting modest market share gains, as other brokers face similar headwinds from tighter regulations affecting Mainland customers.
- We believe core trading revenue should rebound QoQ, supported by stable client assets in Hong Kong and a 15-20% rise in major US equity indices during 2Q...
- ...while we estimate ADV in Hong Kong and the US increased 5% and 6.6% QoQ, respectively, potentially indicating higher client trading velocity for Futu.

Risks associated with clients' concentrated holdings in memory stock ETFs appear to be easing in 3QTD, as Futu clients' stock holdings declined 1% sequentially while HK market capitalization increased 8.6%. We believe this primarily reflects Futu clients' significant exposure to several leveraged memory stock ETFs, which have experienced notable price corrections and outflows since July:

- Futu clients' holdings in the CSOP 2x SK Hynix and Samsung ETFs declined by HK\$19.6bn and HK\$7.7bn, respectively, as of 7 Aug versus the end of 2Q, accounting for the majority of the decline in holdings value. Meanwhile, clients increased purchases of AI-related names, while large-cap internet stocks recovered in price.

There is also evidence that concentration risk has moderated following the correction: Futu clients now account for 14% of the CSOP 2x Samsung ETF, down from approximately 30% at end-2Q26, and 15% of the CSOP 2x SK Hynix ETF, down from 23.6% at end-2Q.

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Asia Summer School 2026

Futu Holdings Ltd (FUTU.O, FUTU US)

Top Pick

China Financials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	US\$177.00
Up/downside to price target (%)	62
Shr price, close (Aug 7, 2026)	US\$109.02
52-Week Range	US\$202.53-80.50
Sh out, dil, curr (mn)	141
Mkt cap, curr (mn)	HK\$120,914
EV, curr (mn)	HK\$120,914
Avg daily trading value (mn)	US\$333

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (HK\$)**	80.24	65.85	82.28	106.24
Prior EPS (HK\$)**	-	-	-	-
EPS (HK\$)§	-	-	-	-
EBITDA (HK\$ mn)	13,713	11,389	13,822	17,847
ModelWare net inc (HK \$ mn)	11,302	9,292	11,610	14,991
P/E	15.9	13.0	10.4	8.0
P/BV	4.5	2.4	1.9	1.6
RNOA (%)	36.7	21.2	20.8	21.5
ROE (%)	40.3	23.2	23.3	24.1
EV/EBITDA	13.2	10.6	8.7	6.8
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

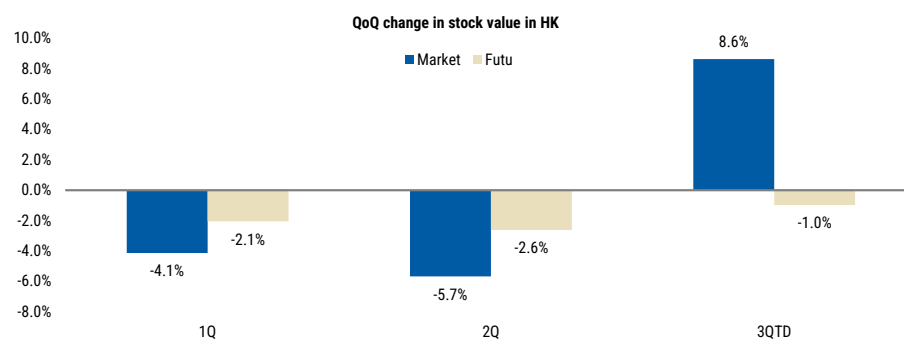
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Chart

Exhibit 1: Futu clients' HK stock holdings more stable than overall market in 2Q26



Source: CCASS, Webb-Site, Morgan Stanley Research

Valuation Methodology and Risks

Futu Holdings Ltd (FUTU.O)

Blend of DCF and P/E, probability-weighted 60% base, 30% bull, 10% bear. Skew reflects confidence in the sustainability of long-term growth, and the current level of client trading velocity.

Key assumptions:

Base case: DCF - discount rate 15.5%, exit growth rate 4%

Bull case: 36% average earnings growth in 2026 and 2027; 21x 2026e P/E

Bear case: earnings -5% on average in 2026 and 2027, 9x 2026e P/E

Risks to Upside

- Better-than-expected market conditions in HK/US
- Rapid crypto adoption among clients
- Solid traction in Japanese user and client acquisition and more color on a clearer monetization path

Risks to Downside

- Major correction in US/HK markets
- Slower-than-expected paying client conversion and monetization in Japanese market
- Fierce competition in HK and Singapore eroding its market share

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Futu Holdings Ltd (FUTU.O) - As of 08/09/26 GMT in USD
Industry : China Financials

Stock Rating History: 8/1/21 : O/A; 10/29/21 : E/A; 5/18/23 : U/A; 1/4/24 : E/A; 11/18/24 : O/A

Price Target History: 7/29/21 : 163; 10/26/21 : 87; 10/29/21 : 71.56; 6/13/22 : 53; 12/5/22 : 56; 1/10/23 : 44; 5/18/23 : 34; 9/26/23 : 40; 1/4/24 : 50; 5/29/24 : 70; 11/18/24 : 115; 2/18/25 : 130; 5/30/25 : 140; 7/9/25 : 160; 8/21/25 : 210; 12/6/25 : 246; 3/27/26 : 225; 6/2/26 : 177

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/07/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$21.60
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb18.20
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$15.26
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$27.10
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.95
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.98
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$109.02
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.72
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.41
GF Securities (000776.SZ)	E (08/07/2025)	Rmb20.94
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.29
HTSC (601688.SS)	E (09/23/2024)	Rmb19.28
HTSC (6886.HK)	E (09/23/2024)	HK\$16.81
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.47
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.86
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$4.69
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.01
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb17.88
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.77
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.23
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.25
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.91
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.00
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb31.48
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.46

China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.34
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.79
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.07
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.07
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.05
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.80
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.68
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.53
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.44
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.19
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.73
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.14
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.53
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.34
Lufax (LU.N)		US\$1.50
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.19
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.84
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$13.24
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.21

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.